

Sally's Coffee – Analytics for Commercial Strategy and Logistics Optimization

On a path to increasing profitability



Background:

Sally is the founder and majority owner of Sally's Coffee – one of the largest coffee roastery and online coffee retailers in the US. The company is based in Irvine, California with its annual revenue exceeding \$35M in the latest fiscal year. Although the business has scaled exponentially and enjoys a large customer base, its profitability is relatively low with only \$2.9M in the latest fiscal year.

The biggest revenue generator are coffee beans from other roasteries, which have razor-thin margins. Coffee equipment and own brand coffee beans have the highest margins; however, they make up only 15% of the revenue. Additionally, shipping cost also hurt the profitability – Sally's Coffee offers free shipping for all orders over \$25, while a large portion of them originate from the East Side.

Overall, the company is in a good financial standing having \$7M in cash and can secure up to \$15M of financing at 7,5% interest. There is also a strong interest from private equity funds. Sally would like to increase the profitability and further expand her business. She considers an IPO or selling the company to a private equity fund or FMCG corporation within the next 3 years.

She has tasked her Chief Commercial Officer and Head of Analytics & Insights to come up with a list of recommendations for boosting the profitability and revenue. They have decided to conduct a survey among the customers to learn about their coffee habits and preferences. 10% of the customers have participated in the survey. The other major data point for the initial analysis is transaction data. They have initially identified 3 key profitability boosters:

- Tweaking company's supply chain and logistics.
- Increasing share of own brand coffee.
- Expanding into café business.

Key Datasets Provided:

1. Sales Data 2024 (contains sales data per ZIP code, categorized by state and revenue)
2. Survey Data 2024 (includes customer responses about coffee habits and preferences)
3. Shipping Cost Information (contains details of shipping costs by region and category (e.g., low, medium, high, very high)).
4. Roast Mapping (maps survey responses to specific roast preferences for analysis.)

Task:

Empower company's leadership with an analytical tool to identify and plan key actions to significantly increase the profitability and revenue.

Additional task:

Prepare a list of recommendations to increase the profitability and revenue based on the information shared in the background section and the data.

Tools:

You are free to use any data visualization and data preparation tools and methods. Please ensure that you can share your solution online. In order to finish all the tasks, you might have to source additional data, which is publicly available.

Key Tasks:

1. Identify 3 neighborhoods (ZIP codes) with the highest FY 2024 sales in the state of California.
 2. What was the average monthly coffee spend of frequent and occasional customers?
 3. List top 3 states with “very high” shipping cost category based on the annual sales. What is the overall percentage of sales coming from states with high shipping costs?
 4. Which neighborhood had the highest share of coffee drinkers willing to spend \$10 or more on a cup of coffee? While analyzing, please exclude neighborhoods with less than 10 survey submissions and the ones which had less than \$150,000 in FY 2024.
 5. What is the number of respondents who prefer light roast? Please ensure a correct mapping of the data.
 6. **Survey Overview:** Visualize the survey results which could play a critical role in increasing share of own brand coffee and expansion into café business.
 7. **Sales Overview:** Visualize the sales data to support identification of supply chain and logistics optimization, as well as planning of café chain development.
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Recommendation tasks - optional:

1. How can Sally's Coffee resolve its issue with high shipping costs? What is the rough estimate of annual savings originating from implementation of your recommendation?
2. What actions would you recommend to increase the share of own brand (Sally's) coffee?
3. Should Sally's Coffee expand into the café business? In case of a negative answer, please provide the rationale behind it. If your answer is positive, please justify your recommendation and propose strategy for the first 12-months of café business operations. How would your strategy impact mid-term and long-term profitability?

Considerations:

- *Ensure the dashboards and visualizations are user-friendly, with clear navigation and interactivity (e.g., filters).*
- *Utilize appropriate visualization types (e.g., bar charts, heatmaps) for different data points.*
- *Validate data accuracy, especially for survey mapping and filtering steps.*
- *Incorporate thoughtful design elements to enhance storytelling and insight delivery.*

Submission:

- Deliverables:
 - A dashboard in a shareable format, preferable a link (e.g., Tableau Public, Power BI file, or a web-based tool). If link is not possible, please share PDF, but be ready to present interactive version to us.
 - A summary (max 3 pages) explaining key insights and recommendations.
 - Cleaned and transformed datasets used for analysis (optional).
- Format:
 - Submit the dashboard link, summary, and any additional files via email.